

GovRisk Capability Statement for the DOS/Mexico project: Strengthen the Capabilities of Mexican State in Anti-money Laundering Investigative, Prosecutorial and Financial Intelligence Personnel"

GovRisk is keen to explore partnership arrangements with interested companies to jointly pursue the **"DOS/Mexico project: Strengthen the Capabilities of Mexican State in Anti-money Laundering Investigative, Prosecutorial and Financial Intelligence Personnel"**(OFOP0001175)

Synopsis of GovRisk's services and experience:

GovRisk is an independent UK-based consultancy with a niche focus and global reach. We provide specialist expertise to positively impact the rule of law and the rules-based international system. We support countries around the world with advice and capacity building to facilitate positive reform, support implementation, strengthen enforcement, and reduce impunity. Our clients include sovereign governments, international bodies, multilateral organisations, non-governmental organisations (NGOs), communities, sports organisations, the private sector, as well as civil society and educational institutions. Our projects tackle the obstacles to sustainable development and good governance, such as corruption and financial crime. Over the past 11 years we have successfully delivered over 100 projects across 55 countries and 6 continents. We have established ourselves as a leading provider of anti-corruption, financial crime, and integrity expertise, with extensive thematic and geographic experience relevant to this opportunity.

Thematic Areas

GovRisk offers research, training, and consulting expertise across a wide range of technical areas within the sphere of financial crime, integrity, governance, and transparency. This includes the following, among others:

Financial Crime Prevention

Technical assistance and advisory support on all aspects of financial crime prevention, detection, investigation, and prosecution, including preparation and follow-up for relevant international assessments (e.g. FATF Mutual Evaluations).

Anti-Corruption

Capacity-building and technical assistance to support anti-corruption efforts from legal reform and prevention initiatives through to prosecution.

Judicial Reform

Promoting the improved efficiency of judicial processes and procedures in line with international best practice.

Relevant project work (current):

2021/23: Countering Money Laundering and the Financing of Terrorism in South America (Argentina, Brazil & Paraguay): GovRisk is a key subcontractor to the American Bar Association in the delivery of this multiyear U.S. Department of State funded project designed to build the capacity of governments and financial sector stakeholders in Argentina, Brazil, and Paraguay and the Triborder Area to degrade and disrupt the financing of Hizballah and other terrorist groups, thus limiting their ability to plan and carry out attacks in the TBA region and globally. The program aims to strengthen the effective implementation of anti-money laundering and countering the financing of terrorism (AML/CFT) measures in a manner consistent with the Financial Action Task Force (FATF) recommendations.

GovRisk is responsible for: 1) assessing opportunities to strengthen public and private sector institutions' capacity to effectively combat money laundering (ML) and terrorist financing (TF); 2)

increasing key AML/CFT actors' understanding of best practices and the reforms required to optimise their respective AML/CFT regimes; and 3) co-developing action plans for reform for key program beneficiaries. The program supports the implementation of these action plans through targeted technical assistance designed to increase local institutional capacity to regulate, supervise, identify, report, investigate and prosecute money-laundering and terrorist financing, as well as to strengthen targeted financial sanctions. The program also promotes enhanced regional collaboration to combat ML and TF in the TBA.

A comprehensive list of the activities that have been carried out in Paraguay as part of the Countering the Financing of Terrorism in South America project is included below.

- FIU/SEPRELAD - Risk-Based Supervision: Capacity-building was delivered for employees at SEPRELAD which is the Money Laundering Prevention Secretariat in Paraguay. This focused on the strengthening of AML/CFT supervision of financial and non-financial institutions.
- FIU/SEPRELAD: Capacity-building was delivered for analysts and other SEPRELAD officials. It focused on strengthening the FIU's capacity to receive, process, analyse and disseminate financial intelligence on cases of money laundering, financing of terrorism and the proliferation of weapons of mass destruction. In addition to this, GovRisk created a manual for the preparation of a strategic analysis report for SEPRELAD in order to help the organisation generate positive and effective reports.
- Public Ministry: Capacity-building was delivered for employees at the Public Ministry in Paraguay of which the participation of the police, SENAD and SEPRINTE was suggested. This focused on strengthening the capacities to investigate money laundering and terrorist financing.
- Supreme Court of Justice: Capacity-building was delivered for employees at the Supreme Court of Justice in Paraguay and thus, focused on best practices for the detection, investigation and prosecution of money laundering and terrorist financing.
- DNFBPs: Capacity-building was delivered for registered DNFBPs in Paraguay which are designated non-financial businesses and professions. This focused on the strengthening of the system for the prevention of money laundering, financing of terrorism and the proliferation of weapons of mass destruction in the regulated entities supervised by SEPRELAD.

***A similar overview for Brazil and Argentina is available on request.**

Relevant project work in Mexico:

2021/22: Strategy and Capacity Building for the adoption of improved models for the criminal investigation of embezzlement and homicides in Mexico: GovRisk is the key implementer for this UK Foreign Commonwealth and Development Office (FCDO) funded project which seeks to help public prosecutors from the States of Mexico City, Tabasco, Jalisco and Chihuahua to adopt improved standards and processes for the investigation of homicides and embezzlement. This represents a continuation of the UK Government's previous Anti-Corruption and Rule of Law (ACROL) Programming in Mexico, which was cancelled in 2021 due to Covid and corresponding cuts to UK ODA funding.

2018/21: UK Prosperity Fund's 2018 Anti-Corruption and Rule of Law (ACROL) Programme in Mexico: GovRisk was a key subcontractor to PA Consulting in the delivery of this multiyear UK FCDO Prosperity Fund's 2018 Anti-Corruption and Rule of Law (ACROL) Programme in Mexico. The programme works with a range of state and federal level institutions with the aim of strengthening Mexico's criminal justice system, thereby contributing to poverty reduction, improved gender equality and inclusive economic development. Aligned with the UN Sustainable Development Goals, the programme activities helped improve the capacity of Mexican authorities to prevent, detect and investigate three serious crime types: homicide, embezzlement, and cyber-crime. Working together with PA Consulting, GovRisk supplies expertise and advisory support across a range of technical, capacity-building, and knowledge-sharing interventions for each crime type.

2020/21: UK DIT & FCDO Business Integrity Initiative Mexico – Monitoring and Evaluation Agent. GovRisk monitored and evaluated how the UK Government interacted with Mexican authorities to help overcome barriers to market entry and other obstacles that presented a challenging business environment for UK businesses operating in Mexico. This MEL work aimed to understand the lessons learned from a pilot business integrity initiative in Mexico in order to inform the design and upscaling of this effort globally. GovRisk worked with UK Embassies to establish how to gather information regarding corrupt business practices and economic crimes without falling foul of freedom of information requests. GovRisk’s evaluation ultimately provided recommendations on how the government might be able to utilise this intelligence to provide constructive guidance to UK companies operating in the Mexican market.

2015/18: Strategy and Capacity Building for the Effective Implementation of Mexico’s New National Anti- Corruption System: The purpose of this project was to: 1) to ensure the adoption by congress of international best practices and the interests and concerns of the key governmental institutions making up Mexico’s new National Anti-corruption System, in the establishment of the corresponding secondary legislation. This includes the changes to the functions, operations and faculties of all competent authorities within this new system, as well as the general framework for their coordination and collaboration; and 2) following the establishment of the aforementioned secondary legislation, increase the technical capacity of key governmental institutions making up Mexico’s NAS to fulfil their increased responsibilities and/or amended mandates.

This included extensive and highly targeted strategy and capacity building on the following topics: i) best practice techniques for the detecting fraud and investigating corruption, collusion and waste in the contracting of public works; ii) Developing an ‘Audit Quality Assurance Framework’; iii) developing a ‘communication strategy for the Supreme Audit Office that focuses specific attention on the Congress and its committees’; iv) ‘best practice whistle-blower systems’; v) ‘investigation techniques for corruption cases’; vi) establishing a Final Beneficial Ownership Registry.

2014-15: Strategy and capacity building in Mexico for the Supervision, Monitoring and Regulation of Traditional and Non-Traditional Financial Institutions for Compliance with AML/CFT: This project supported Mexico’s National Banking and Securities Commission (CNBV) which is responsible for supervising compliance policies and obligations, as detailed in the National Banking and Securities Commission Law and in the Federal Law for the Prevention and Detection of Transactions Involving Illicit Resources, for all financial institutions under its remit. It is responsible for monitoring the implementation of the above and has the power to sanction non-compliant entities. Reforms to the General Law on Auxiliary Credit Organisations and Activities issued in 2011 brought a new series of financial sector activities - particularly those relating to Multiple Purpose Financial Institutions (SOFOMES), money remitters and currency exchange centres - under the regulatory remit of the CNBV.

Such amendments to the Law, which had to be implemented, dramatically increased both the scale and scope of the activities, which the CNBV needed to undertake in the area of AML / CFT. The number of financial institutions the body regulates increased from 310 to over 6,000, bringing officials into contact with whole new sectors and areas of economic activity to which they had previously limited or no exposure. In short, these are categorised as non-traditional financial institutions and/or activities. This programme was requested to GovRisk by the CNBV who considered their lack of expertise and analytical tools a major impediment to their capacity to develop effective policy and adequately regulate and supervise the new vast and diverse new areas and activities which now fall within their jurisdiction; specifically with regards inspection and surveillance during on-site visits as well as off-site inspection. The project activities helped ensure that Mexico’s competent authorities appropriately supervise, monitor and regulate Traditional and Non-Traditional Financial Institutions for compliance with AML/CFT requirements commensurate with their risks. As such, proceeds of crime and funds in support

of terrorism will be prevented from entering the financial sector or will be detected and reported by these sectors.

2013-14: Strategy and capacity building in Mexico for the Supervision, Monitoring and Regulation of Designated Non-Financial Businesses or Professions (DNFBPs) for Compliance with AML/CFT: The overall objective of this project was to support Mexico's Financial Intelligence Unit to ensure that the proceeds of crime and funds in support of terrorism are prevented from entering the financial and other sectors in Mexico, or are detected and reported by these sectors by ensuring that supervisors appropriately supervise, monitor and regulate Designated Non-Financial Businesses or Professions (DNFBPs) for compliance with AML/CFT requirements commensurate with their risks. Project impacts meant that key stakeholders from Mexico's competent authorities for AML/CFT were collectively better placed to incorporate best practices to ensure the effective regulation and supervision of DNFBPs in accordance with their level of risk.

Relevant project work outside of Mexico:

2016/21: UK FCDO Modernising China's Anti-Money Laundering Framework: In its role as the principal technical advisor to China on anti-money laundering, GovRisk delivered the AML strand of the China Business Environment Programme (BEP), funded by the FCDO. This was a continuation of technical assistance which GovRisk had been providing in collaboration with the People's Bank of China (PBC) since 2016. This programme supported China's on-going efforts to modernise its AML regime in line with the standards set by the Financial Action Task Force (FATF) and worked with a variety of stakeholders to deliver technical assistance across a broad range of focus areas, including beneficial ownership, supervision, and use of financial intelligence. As part of this work, GovRisk also conducted extensive in-person and online training of Chinese officials and organised technical visits to the UK for both public and private sector representatives.

2018/21: UK FCDO As partner to PwC, GovRisk was responsible for implementing the Anti-Money Laundering workstream of the UK Prosperity Fund's 2018 Financial Services and Intellectual Property Programme in South-East Asia. **More details are available on request.**

2018/19: Scoping study on Serious Organised Crime in Panama, including financial crime, with a particular focus on money laundering, corruption and narcotics: The UK Government is currently developing its 5-year strategy relating to Serious and Organised Crime (SOC) in Panama and shaping its priorities for upcoming CSSF Fund projects. To support this, GovRisk was contracted to conduct an in-depth scoping study to offer evidence-based analysis and recommendations. The Scoping Study analyses the threats in place and weaknesses in Panama's institutions and approach. It assesses the strengths in the work being done so far and identifies gaps where specific and targeted interventions from the British Government (including through locally implemented CSSF projects) could have the biggest impact in tackling SOC, in line with the British government '4 P's' approach. It also offers highly targeted recommendations developed by a team of leading international experts, including a roadmap identifying priority action points. The study will help inform further UK investment in combating SOC in Panama and was submitted in March 2019.

2017/18: Introducing Best Practices into the Legislative and Operational Design for the Execution of Joint Anti-Money Laundering Investigations by competent Authorities in Guatemala, Honduras and El Salvador: In order to support the improved delivery of international investigations by the competent authorities in Guatemala, Honduras and El Salvador - and in turn contribute to wider efforts to prevent the proceeds of crime and funds in support of terrorism from entering the countries' financial systems - the programme aimed to leverage UK and international best practices for introduction into the legislative and operational design of Joint Anti-Money Laundering Investigations Teams. Project impacts meant that key officials with responsibilities for developing the legislative framework and operational design for the execution of Joint Anti-Money Laundering Investigation Teams, are collectively better placed to incorporate international best practices as they push forward

this agenda in the Northern Triangle. This includes increased capacity, political will and informal networks for information exchange between individuals and institutions responsible for pushing forward this agenda in each of the three jurisdictions. In particular, the discussions and subsequent consultations highlighted the following six key impacts in the short and medium-term: 1) Improved legal framework to expedite cooperation, including agreements to share confiscated assets; 2) The establishment of a single agreement between the three jurisdictions that contains principles, rules and procedures specific to JITS, as well as more detailed Action Protocols; 3) Increased efficiency of Mutual Legal Assistance and information sharing for JITS; 4) Increased range of 'special investigative techniques' to be enabled and applied within Joint Investigation Techniques; 5) Increased specialization and capacity of public prosecutor's offices and judges prosecuting complex transnational crimes within accusatorial judicial systems, including cases involving JITS.; 6) Increased understanding of the human, financial and technological resources required to implement JITS.

2017/18: Promoting Transparency of Company Ownership Information in Paraguay: GovRisk implemented this programme to support Paraguay's Office of the Presidency to push forward its agenda on the subject of Transparency in Final Beneficial Ownership Information, by establishing a preliminary diagnostic, that allowed competent authorities to fully understand: a) what registers currently exist and what information they hold; and b) identified the specific policy challenges towards identification, production or exchange of information, technology, and interinstitutional coordination; as required to ensure compliance with international standards, including OECD and Financial Action Task Force (Output I).

2016/17: Strategy and Capacity Building in Paraguay for the Supervision, Monitoring and Regulation of Designated Non-Financial Businesses or Professions (DNFBPs) for Compliance with AML/CFT. The overall objective of this project was to ensure that the proceeds of crime and funds in support of terrorism are prevented from entering the financial and other sectors in Paraguay, or are detected and reported by these sectors by ensuring that supervisors appropriately supervise, monitor and regulate Designated Non-Financial Businesses or Professions (DNFBPs) for compliance with AML/CFT requirements commensurate with their risks. Project impacts meant that key stakeholders from Paraguay's competent authorities for AML/CFT are now collectively better placed to incorporate best practices to ensure the effective regulation and supervision of DNFBPs in accordance with their level of risk.

2016/17: Strategy and Capacity Building in Paraguay: Tackling Money Laundering through Criminal Cross-border Transportation of Cash and Bearer Negotiable Instruments. GovRisk implemented this programme to assist the Secretariat for the Prevention of Money Laundering of Paraguay (SEPRELAD) in the incorporation of international best practice into its strategy, processes, and procedures for the tackling of money laundering through criminal cross-border transportation, thus enhancing their capacity to detect, prevent and manage money laundering cases.

2016/17: Strategy and capacity building in Guatemala for the Supervision, Monitoring and Regulation of Designated Non-Financial Businesses or Professions (DNFBPs) for Compliance with AML/CFT: The overall objective of this project was to ensure that the proceeds of crime and funds in support of terrorism are prevented from entering the financial and other sectors in Guatemala, or are detected and reported by these sectors by ensuring that supervisors appropriately supervise, monitor and regulate Designated Non-Financial Businesses or Professions (DNFBPs) for compliance with AML/CFT requirements commensurate with their risks. Project impacts meant that key stakeholders from Guatemala's competent authorities for AML/CFT are now collectively better placed to incorporate best practices to ensure the effective regulation and supervision of DNFBPs in accordance with their level of risk.

2016/17: Justice Management Reform Model: Better public efficiency and reduced corruption in Brazil: In order to increase efficiency and performance in the judiciary system management model and foster better justice services in Brazil to implement corruption- fighting mechanisms, GovRisk was

invited by the Prosecutor General of the Republic (PGR) to share best UK and international practice. As a result of the programme an improved and unique lawsuit workflow management model was created using international benchmarks which provided a great solution for the problem of poor performance in some courts. By having this new methodology mapped, analysed, designed and implemented, the courts were able to deliver faster judgments and rulings, decreasing the burden in the system and opening space for the adoption of new corruption-fighting targeted tools. Following the programme, which took place in both the UK and Brazil, senior members of the PGR proposed several internal measures to improve the performance of the PGR. To organise these measures, an action plan was created, pledging key actions to be undertaken as a result of the project.

2016/17 Myanmar Anti-Money Laundering: Implementing a National Strategy under the New Government. GovRisk facilitated the implementation of Myanmar's new AML strategy, through a permanent AML/CFT advisor in-country, and setting up three new national working groups to address skills gaps in every competent agency in the AML/CFT regime, giving the country the tools to implement the rapid development that the FATF process (and the country's growing risk profile) demands. A National Strategy was adopted and distributed for implementation by all agencies under the national AML/CFT coordination mechanism, the Central Control Board.

2016/17: Support for Cuba in its Implementation of its AML/CFT Strategy for Supervising, Regulating and Monitoring Designated Non-Financial Businesses or Professions (DNFBPs) – Phase IV: GovRisk leveraged its high level of experience in the field of financial crime to support the Cuban government in detecting and preventing the entrance of criminal and terrorist funds into the country's financial system. GovRisk achieved this by ensuring competent authorities were able to appropriately identify, assess, and take effective action in mitigating money laundering by Designated Non-Financial Businesses or Professions (DNFBP's), in accordance with their level of risk.

2015/16 Strategy and Capacity Building for the Supervision, Monitoring and Regulation of Designated Non-Financial Businesses or Professions (DNFBPs) in Uruguay for Compliance with AML/CFT. GovRisk implemented a technical assistance programme to train both regulated entities and Uruguay's competent authorities to appropriately supervise, monitor and regulate Designated Non-Financial Businesses or Professions (DNFBPs) for compliance with AML/CFT requirements commensurate with their risks.

2015/16: Strategy and Capacity Building in Cuba for the Supervision, Monitoring and Regulation of Designated Non-Financial Businesses or Professions (DNFBPs) for Compliance with AML/CFT – Phase III (Cuba, 2015-16): This tailored training programme assisted Cuba's competent authorities to structure and implement an efficient system of regulation, inspections, surveillance, prevention and rectification for all Designated NonFinancial Businesses or Professions (DNFBPs), in accordance with international best practice.

2015/16 Enabling Measurable Performance Improvements for Burma's Financial Intelligence Unit (FIU) and Regulated Sectors Towards the Country's Financial Action Task Force (FATF) Mutual Evaluation. The programme was designed to assist Burma's Financial Intelligence Unit to implement the "receive, analyse, disseminate" portion of the 2014 AML Law by improving practical knowledge of tactical and strategic analysis in an exchange programme with Indonesia's FIU, PPATK.

2014/15 Suspicious Transaction Report (STR) Analysis and Designated Non-Financial Business and Professions (DNFBPs) Regulation in Burma and Indonesia: This project provided a database for Burma's Financial Intelligence Unit to receive and analyse STRs, created bespoke to the FIU's data and requirements. It and consulted with new reporting sectors (DNFBPs) covered by the country's 2014 AML Law, who are required to submit STRs for the first time. Finally, it coordinated an analyst exchange with Indonesia's FIU (PPATK), working with both countries on the enhancement of analysis

techniques and developing recommendations to plan the strategy for organisational development of an FIU.

2014/15 The Judicial Approach to Money Laundering, Corruption and Asset Recovery in Papua New Guinea (PNG). GovRisk implemented a tactical, high-level capacity building programme which supported the Judiciary's capacity to handle cases that relate to Money Laundering, Corruption, Restraint, Confiscation, Asset Recovery and Mutual Legal Assistance.

2013/15: Preparing Cuba for the Revised Financial Action Task Force Mutual Evaluation (Cuba, 2013-14): Under this three-year programme, GovRisk experts assisted competent government authorities in Cuba to achieve a fair FATF country Evaluation and to implement the resulting reforms to its AML/CFT regime. The Mutual Evaluation Report (MER) for Cuba was published in July 2015. The results were highly positive and the Evaluation commended Cuba's efforts and reported that the country 'has updated and strengthened its AML/CFT framework, largely in line with FATF standards'. This progress is particularly noteworthy given that Cuba was on the FATF 'blacklist' only as recently as February 2013.

2012/13: Caribbean and Latin America Forum on Financial Crime Prevention Effective Implementation of the new FATF Standards (Panama) : GovRisk was hired by the British Embassy in Panama to organise a regional training programme for key stakeholders with a role in implementing the revised FATF recommendations. GovRisk organised a forum attended by approximately 180 officials from a wide variety of public and private sector bodies from 25 countries. Delegates included public prosecutors specialising in money laundering and organised crime, officials from the United Nations Office on Drugs and Crime financial service commissions, regulatory bodies, police, customs and excise, auditor generals, embassy representatives, financial intelligence units (FIUs), and a whole host of Panamanian and other Latin American government ministers. The consultations with local stakeholders conducted by GovRisk revealed shortcomings in the capacity of Panamanian officials, and those within the wider region, to comply with FATF international standards and, crucially, the failure of preventative measures to adequately address all the risks highlighted by FATF.

2013/15: AML Enforcement and Prosecution in Cambodia, Indonesia, Malaysia and Philippines. This series of training programmes provided assistance to Southeast Asian countries to understand the 2012 FATF standards and the upcoming 4th Round Mutual Evaluations. The project also worked to support those countries seeking to come, or stay, off the FATF blacklist by improving enforcement of anti-money laundering legislation (under 3rd Round assessments).

2013/14: Confiscation, Seizure and Forfeiture of Illegally Acquired Assets in Belize. More details are available on request.

2011/12: Ensuring Effective Prosecutions for Money Laundering Cases in Belize. More details are available on request.